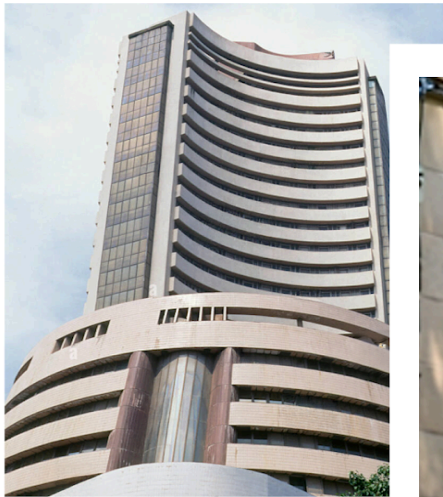


General Knowledge

Indian Economy

STUDY NOTES

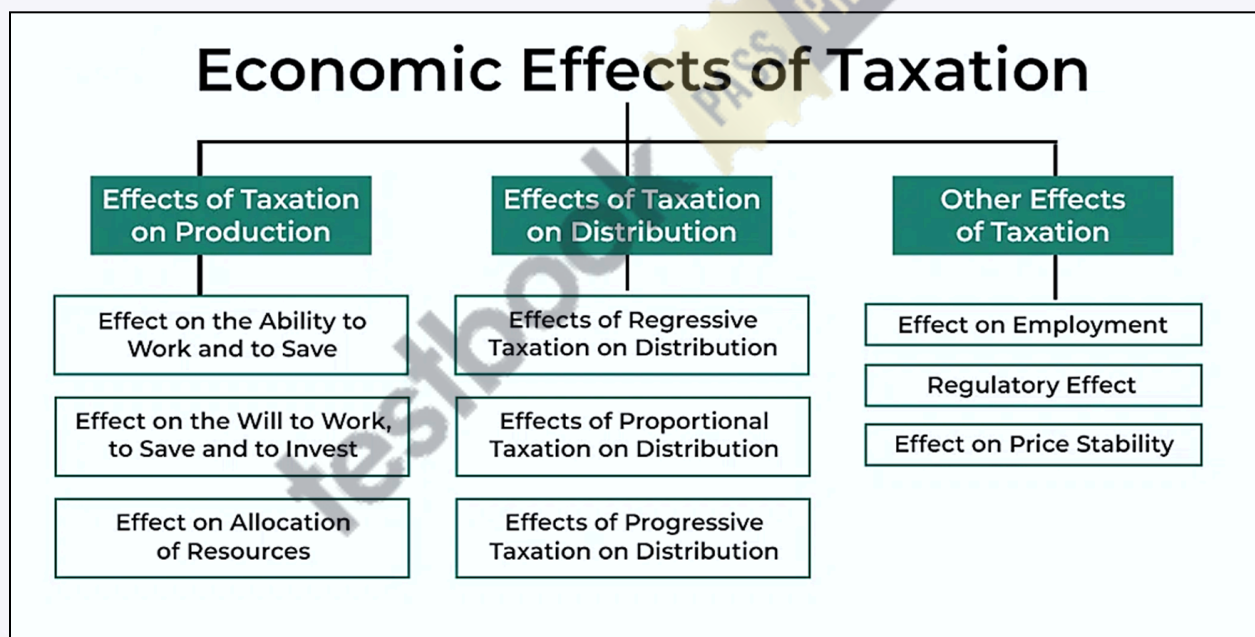
Tax Structure in India



TAX STRUCTURE IN INDIA

Taxation System

Taxation refers to the **compulsory financial contribution** imposed by a government on individuals, corporations, and other entities to finance public services like **defence, healthcare, education, and infrastructure**. It plays a crucial role in income redistribution and economic governance, helping to fund welfare programs aimed at reducing socio-economic inequalities. The **Swaran Singh Committee** proposed making the **Duty to Pay Taxes** a **Fundamental Duty** under **Article 51A**, but it was not adopted, leaving taxation as a legal obligation rather than a fundamental duty.



Tax Incidence, Impact, Shifting, and Base

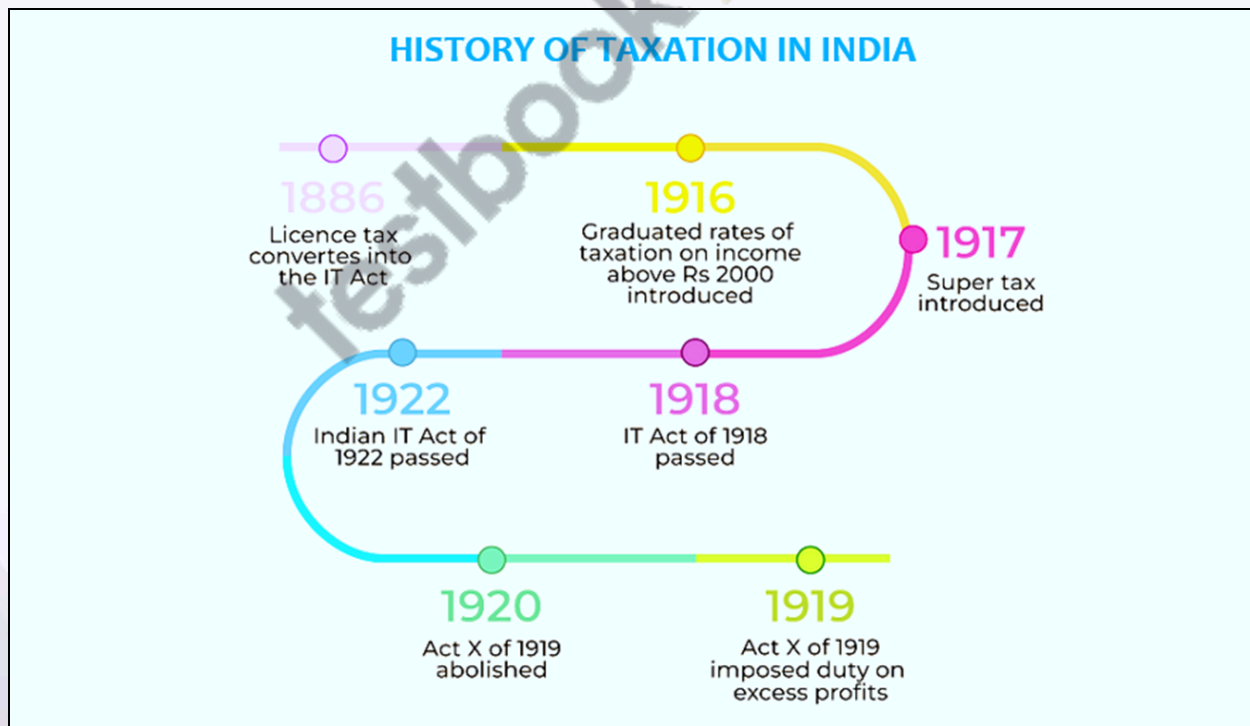
Understanding the distribution and burden of taxation involves:

- **Tax Incidence:** Refers to who ultimately bears the financial burden of a tax, such as consumers in the case of **sales tax**.
- **Tax Impact:** Indicates the entity initially responsible for paying the tax, usually businesses or producers.

- **Tax Shifting:** This occurs when the tax burden is transferred from the initial taxpayer to another party.
- **Tax Base:** The total volume of goods, services, and incomes subject to taxation. Broadening the tax base enables more revenue generation without increasing tax rates.

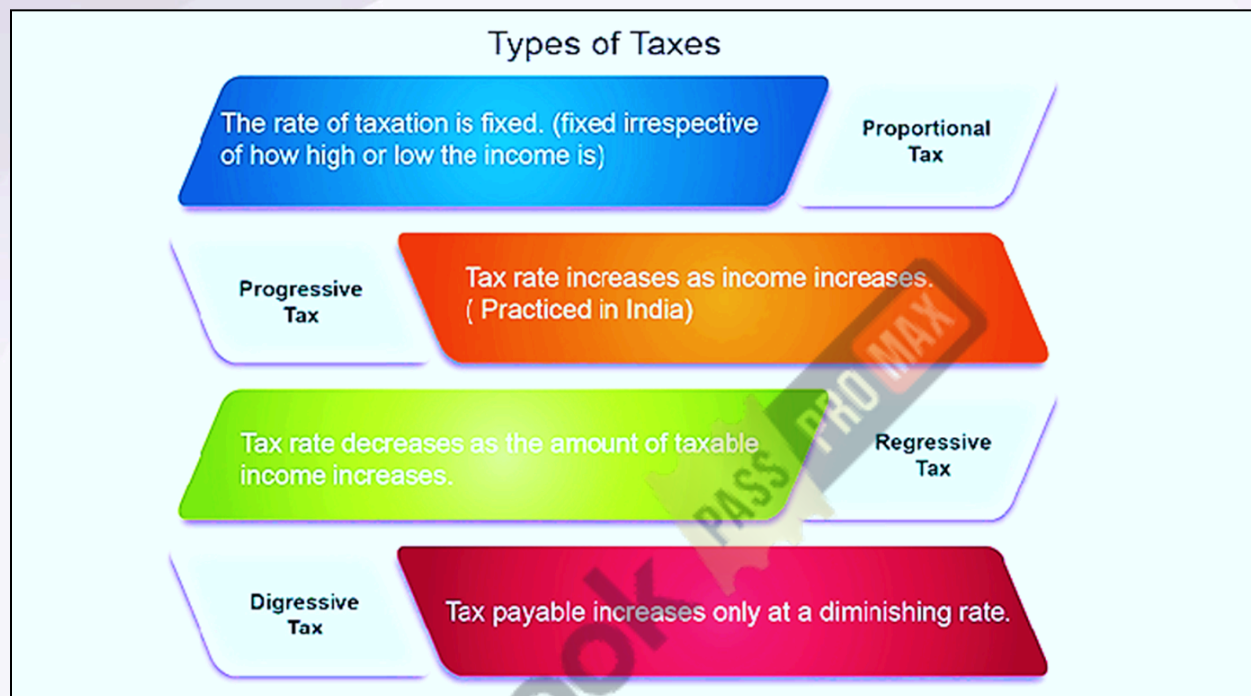
Evolution of India's tax system

- **1991-1993 Chelliah Committee:** Recommended broadening the tax base, simplifying rates, and initiating comprehensive tax reforms.
- **1986 JHA Committee:** Introduced **MODVAT**, which allowed producers to claim credit for **excise duty** paid on inputs.
- **2002 Vijay Kelkar Committee:** Suggested **abolishing wealth tax** and **Minimum Alternate Tax (MAT)**.
- **2003 Kelkar Task Force:** Introduced the **Fiscal Responsibility and Budget Management (FRBM) Act** and laid the groundwork for **GST**.
- **101st Constitutional Amendment (2016):** Enabled the rollout of **GST**, replacing multiple indirect taxes with a unified tax system.



Types of Taxation Method

Various types of taxation methods are used under the Taxation System in India and across the world. These taxation methods are described in the sections that follow.



Proportional Taxation or Flat Taxation

- Proportional taxation, also known as Flat Taxation, is a method of taxation system in which the same percentage of income is levied on all taxpayers, regardless of their income level.
- In other words, tax is levied at the same rate for each individual, irrespective of their level of income.
- Here, it is to be noted that the tax rate remains the same, but the absolute amount of tax increases with an increase in income level. For example,

Income Level	Tax Rate	Tax Amount
10,000/-	10%	1000/-

1,00,000/-	10%	10,000/-
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Progressive Taxation

- Progressive taxation is a method of taxation system in which the tax rate increases as the taxable amount or the income level increases.
- In other words, individuals with higher incomes pay a higher percentage of their income in taxes compared to those with lower incomes.
- Here, the tax rate as well as the absolute amount of tax increases with an increase in income level. For example,

Income Level	Tax Rate	Tax Amount
10,000/-	10%	1,000/-
1,00,000/-	20%	20,000/-

Regressive Taxation

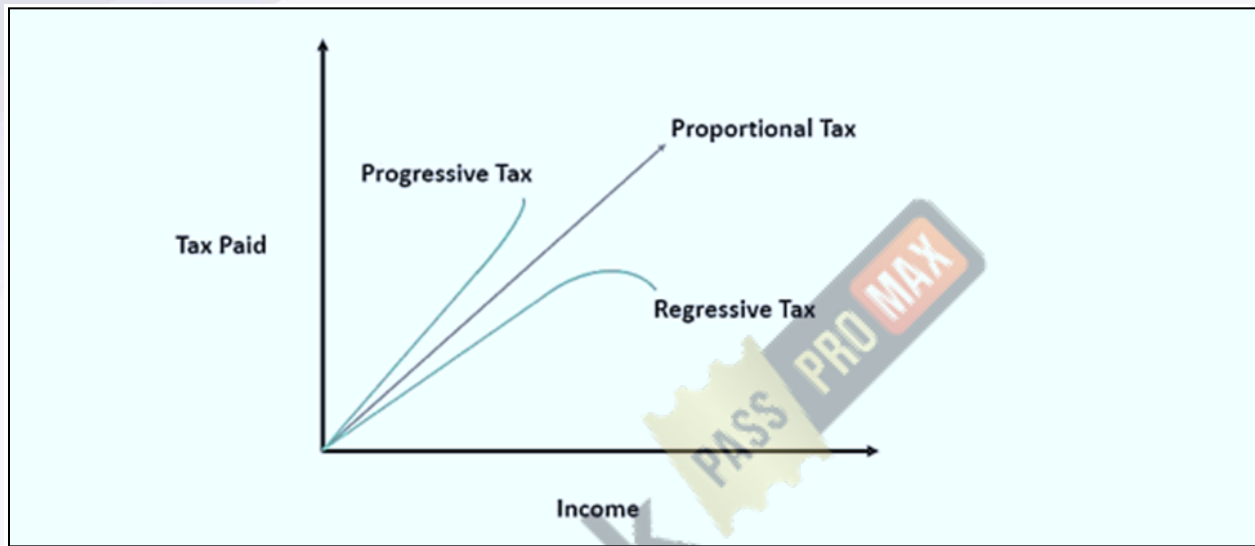
- Regressive taxation is a method of taxation in which the tax rate decreases as the taxable amount or the income level increases.
- In other words, individuals with lower incomes pay a higher percentage of their income in taxes compared to those with higher incomes.
- Here, the tax rate decreases, but the absolute amount of tax increases with an increase in income level. However, the increase in the absolute amount of tax w.r.t. increase in income level is lesser than that in the case of proportional and progressive taxation methods. **For example,**

Income Level	Tax Rate	Tax Amount
10,000/-	10%	1,000/-
1,00,000/-	5%	5,000/-

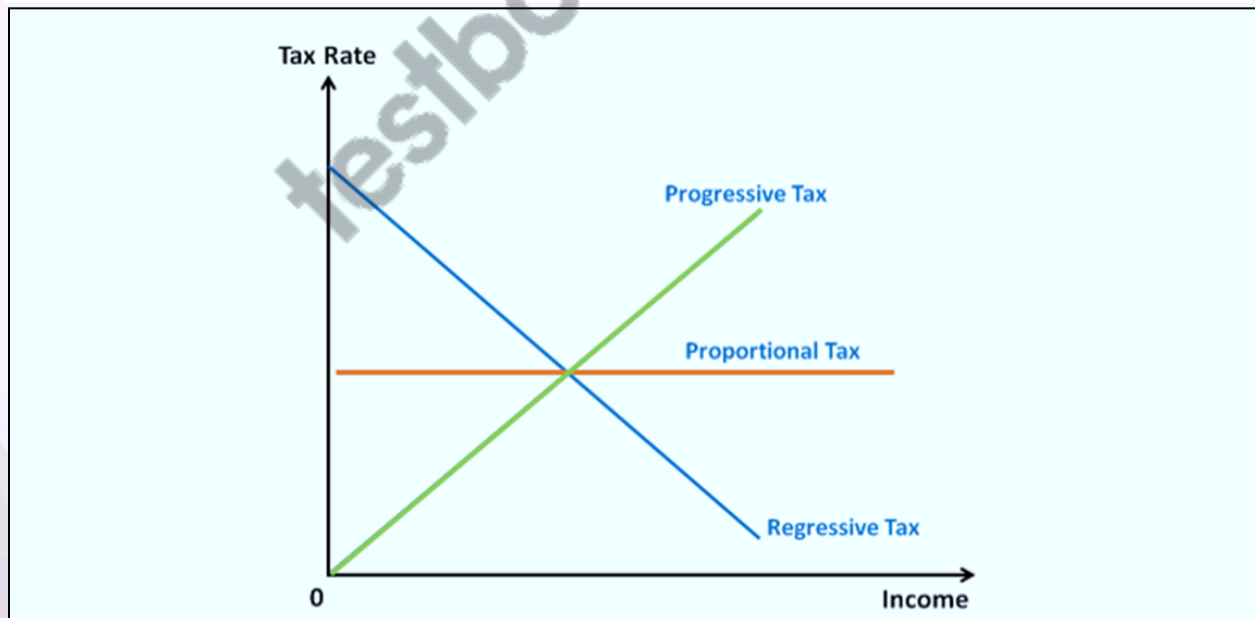
Digressive Taxation

- Digressive taxation is a method of taxation system where the tax rate initially increases with income up to a certain point, after which it either remains constant or decreases.
- Thus, this system of taxation combines elements of both Progressive Taxation and Regressive Taxation.

Graphical representation of taxes (Tax Paid vs. Income)



Graphical representation of taxes (Tax Rate vs. Income)



Methods of Taxation on Goods

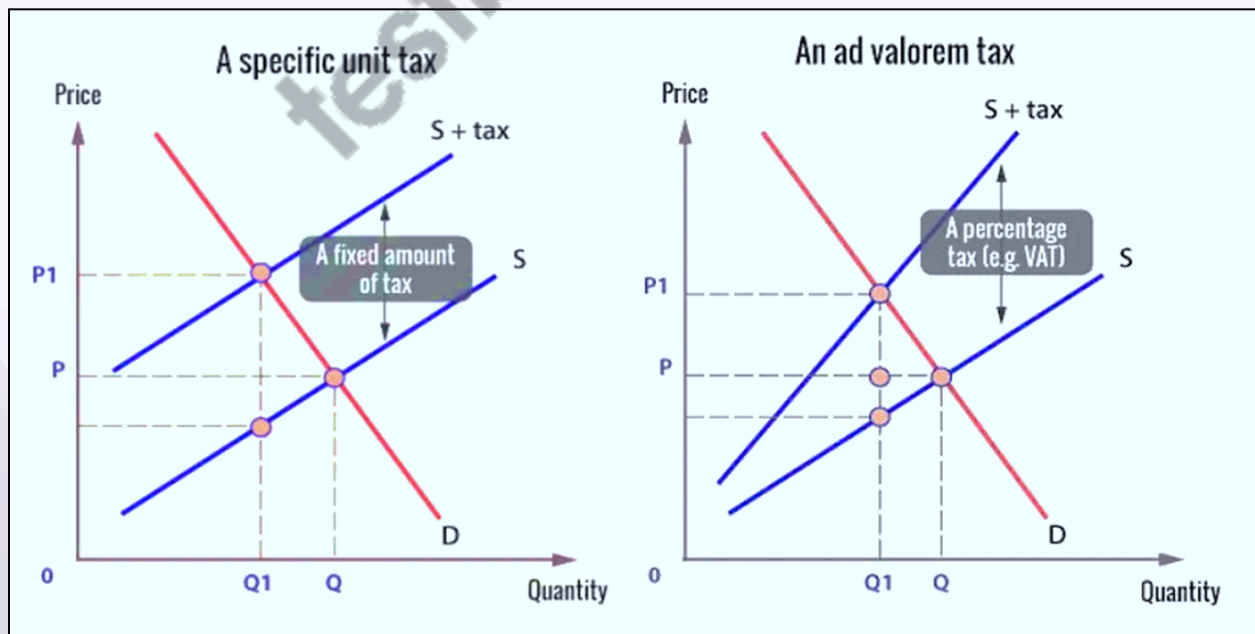
There are two methods of levying tax on goods – Ad Valorem and Specific Tax

Ad Valorem

- ‘Ad Valorem’ is a Latin word meaning ‘According to Value’.
- Thus, in the Ad Valorem method of taxation, tax is levied as a percentage of the value of the goods, regardless of the number of units produced.
- For example, 10% on the price of a car.
- In this case, the absolute amount of tax increases with an increase in the price of the car.

Specific Tax

- In the Specific Tax method of taxation, tax is levied as a flat rate per unit of goods produced, regardless of the value.
 - For example, 10 lakhs per car.
- Thus, in this case, the tax revenue increases only with the number of units produced, not with the price.



Difference between Ad Valorem and Specific Tax

Ad Valorem	Specific Tax
Based on the assessed value of the product.	Fixed amount tax based on the quantity of units sold.
The tax is usually expressed in percentages. Example: GST in India has 5 tax rate slabs- 0%, 5%, 12%, 18% and 28%.	The tax is usually expressed in specific sums. Example: Excise Duty on Petrol.
Examples: GST, Property tax, sales tax.	Examples: Excise duty on petrol and liquor products.
They are progressive in nature.	They are regressive in nature.

Types of Taxes

- Taxes have been, broadly, classified into two types - Direct Taxes and Indirect Taxes.
- The difference between Direct Tax and Indirect Tax can be seen as follows.

Basis of Difference	Direct Tax	Indirect Tax
Liability	Liability (Impact of Tax) as well as the Burden (Incidence of Tax) to pay it resides on the same individual/entity.	Liability (Impact of Tax) to pay the tax lies on a person/entity who then shifts the ultimate Burden (Incidence of Tax) of paying the tax to another individual/entity.
Shift in burden	The burden of paying the tax cannot be shifted.	The burden of paying the tax can be shifted.
Payment	Paid entirely by a taxpayer directly to the government.	Ultimately paid by the end-consumer of goods and services.
Costs of collection	Higher administrative costs of collection.	Lesser administrative costs of collection.

Nature	In the case of Direct Taxes, usually, the tax rate increases with an increase in income level. So, Direct Taxes are considered progressive in nature.	In the case of Indirect Taxes, the tax rate is the same for all, irrespective of the income level. So, Indirect Taxes are considered regressive in nature.
Examples	Income Tax, Corporate Tax, etc.	GST, Entertainment Tax, etc.

Direct Taxes

- **Direct Tax** refers to the type of tax that is borne by a **person/entity** on whom it is levied.
- In this case, the **Impact of Tax** and the **Incidence of Tax** fall on the **same person or entity**.
- The burden of a **Direct Tax** cannot be shifted to another **person/entity**.
- **Direct Taxes** in **India** are administered by the **Central Board of Direct Taxes (CBDT)**, which is a part of the **Department of Revenue** (under the **Ministry of Finance**).

Features of Direct Taxes

- **Tax on Income:** They are levied directly on the **income** of **individuals** or **businesses** rather than on the consumption of **goods** or **services**.
- **Paid Directly:** Unlike **indirect taxes**, which are collected by **intermediaries** such as **sellers** and paid indirectly to the **government**, **direct taxes** are paid directly by the **taxpayer** to the **government**.
- **Progressive Nature:** They tend to be **progressive**, meaning the **tax rate** increases as the **income level** rises.
- **Narrow Base:** They typically have a **narrow tax base**, as they are imposed only beyond a certain **threshold value** of **income**.

Types of Direct Taxes in India

Type of Tax	Definition	Key Points
Income Tax (IT)	Tax is charged directly on the income of individuals, HUFs, companies, etc.	Taxable Income = Total Income - Deductions/Exemptions.

Personal Income Tax	A sub-type of Income Tax levied on income from salary, business, rental, interest, etc., earned by individuals, HUFs, and partnership firms.	Governed by the Income Tax Act, of 1961. Covers salary, profits, rental income, etc.
Corporate Tax	Levied on profits of public and private companies registered under the Companies Act, 2019.	A significant contributor to tax revenue. Governed by the Income Tax Act, 1961.
Minimum Alternate Tax (MAT)	Imposed on "Zero Tax Companies" that show profits but avoid tax due to exemptions, deductions, and credits.	Companies pay either Corporate Tax or MAT, whichever is higher.
Zero Tax Companies	Companies earning profits but avoiding Corporate Tax using tax loopholes.	MAT was introduced in 1997-98 to bring these companies under the tax net.
Alternate Minimum Tax (AMT)	Similar to MAT but applicable to non-corporate entities like partnership firms.	Ensures tax payment by other commercial establishments.
Capital Gains Tax (CGT)	Tax levied on profits from the sale of Capital Assets (e.g., land, buildings, vehicles, jewelry).	Capital Assets are classified as Short-Term (≤ 36 months) or Long-Term (> 36 months). Excludes agricultural land, stock-in-trade, and personal effects (except specified assets).

Securities Transaction Tax (STT)	Tax levied on the purchase or sale of securities like shares, bonds, and mutual funds listed on recognized stock exchanges.	Introduced in 2004 to curb tax evasion on capital gains.
Dividend Distribution Tax (DDT)	Tax imposed on dividends paid by companies to shareholders (withheld before payout).	Abolished in India w.e.f. 1st April 2020.
Wealth Tax	Tax on the net wealth/assets owned by individuals, HUFs, and companies.	Abolished in India w.e.f. 1st April 2016.
Banking Cash Transaction Tax (BCTT)	Tax on cash withdrawals exceeding a specified amount (e.g., ₹25,000) from non-savings bank accounts.	Introduced in 2005 and withdrawn in 2009. Aimed at preventing tax evasion but added to customer burden.
Digital Tax (Google Tax or Equalization Levy)	Tax levied on digital transactions involving foreign entities like Google, Amazon, etc., for digital services offered in India.	Helps address taxation challenges in the digital economy.
Professional Tax	Tax levied on individuals earning through salary or practising a profession like doctors, lawyers, CAs, etc.	Collected by State Governments.

Digital Tax – Google Tax or GAFA Tax or Equalization Levy

- **Digital Tax**, also known as **Digital Services Tax (DST)**, is a **levy** imposed on the **earnings** of **digital companies** from **digital services** provided in jurisdictions where they do not have a significant **physical presence**.
- This **tax** aims to address the challenges of taxing **digital** and **online activities** in the **global economy**.

Direct Tax Code (DTC)

- **Direct Tax Code (DTC)** aims to simplify **tax laws** and **regulations** into a single **legislation**.
- The **DTC Bill, 2010**, was introduced to replace the **Income Tax Act, 1961**, and the **Wealth Tax, 1957**.

Central Board of Direct Taxes (CBDT)

- The **CBDT** is the apex body responsible for administering **direct taxes** in **India**.
- It is a part of the **Department of Revenue** in the **Ministry of Finance**.
- The **CBDT** provides inputs for **direct tax policy** and **planning** and administers **direct tax laws** through the **Income Tax Department**.

Indirect Tax

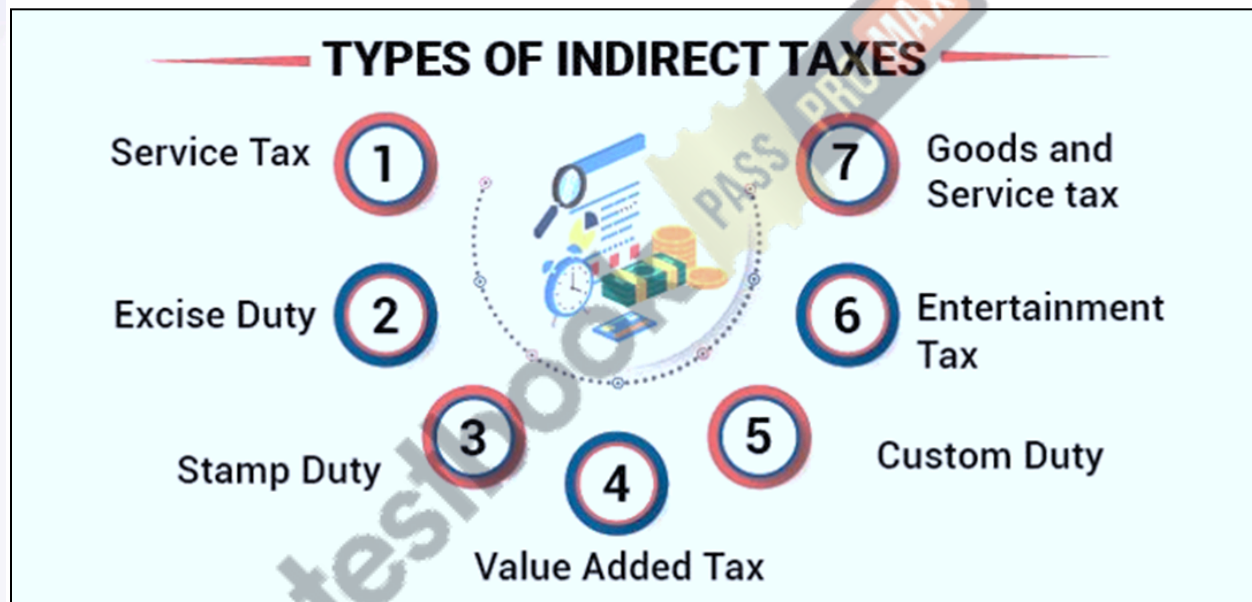
- **Indirect Tax** refers to the type of **tax** for which the **Impact of Tax** and **Incidence of Tax** fall on different **persons** or **entities**.
- **Indirect Taxes** are generally imposed on **goods** and **services**.
- They differ from **direct taxes** because they are not levied on a **person** who pays directly to the **government**. Instead, they are levied on **products/services** and are collected by the **person** selling the product.
- **Indirect Taxes** in **India** are administered by the **Central Board of Indirect Taxes and Customs (CBIC)**, which is a part of the **Department of Revenue** (under the **Ministry of Finance**).

Features of Indirect Tax

- **Tax on Consumption:** **Indirect taxes** are levied on the **consumption** of **goods** and **services**, rather than directly on a person's **income**.

- **Paid Indirectly:** Unlike **direct taxes**, which are paid directly by the **taxpayer** to the **government**, **indirect taxes** are collected by an **intermediary**, such as a **seller** or **service provider**, and then passed on to the **government**.
- **Regressive Nature:** They tend to be **regressive** because everyone pays the **same amount** for a given product or service, regardless of their **income level**.
- **Broad Base:** They typically have a **broad tax base**, as they are imposed on a wide range of **goods** and **services** consumed by the population.
- **Impacts Spending Patterns:** They can affect **consumer spending patterns**, as the final price consumers pay for **goods** and **services** includes the **tax**.

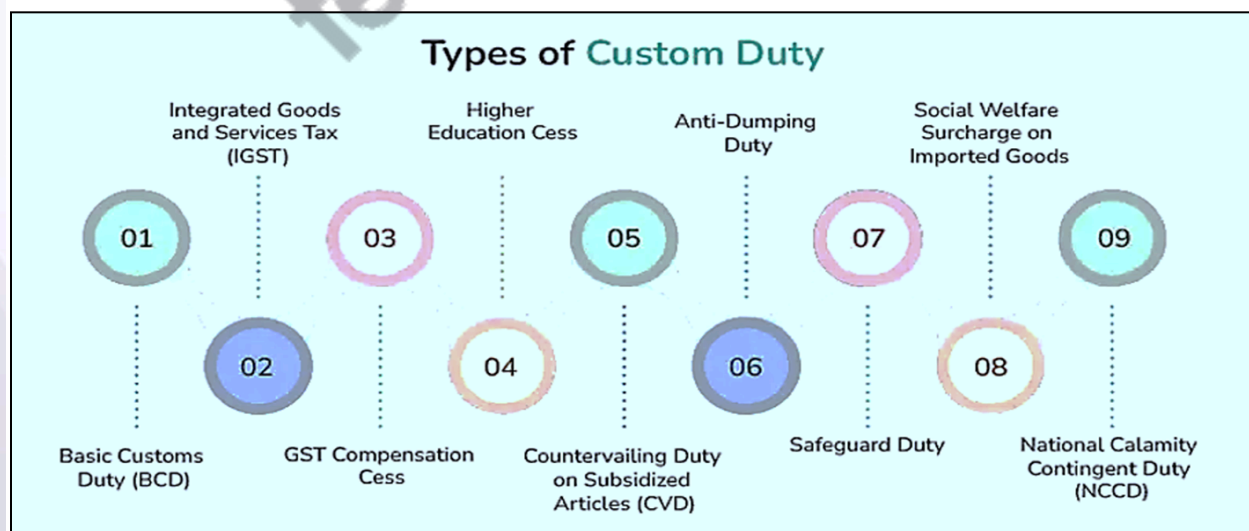
Types of Indirect Tax



Type of Tax	Definition	Key Points
Excise Duty	Tax on the production, licensing, and sale of goods in India.	Subsumed under GST for most products; still applicable on liquor (state) and petroleum products (central).
Customs Duty	Tax on imports and specific exports of goods.	Includes Basic Customs Duty, Countervailing Duty (CVD), Anti-Dumping Duty, and Export Duty.

Sales Tax	Indirect tax on the sale of goods and services.	Subsumed under GST; previously included State Sales Tax and Central Sales Tax (CST).
Service Tax	Indirect tax on specific services provided within the country.	Subsumed under GST since 1st July 2017.
Goods and Services Tax (GST)	Indirect tax on most goods and services sold for domestic consumption.	Replaced various indirect taxes; implemented on 1st July 2017.
Entry Tax and Octroi	Tax on goods entering a state or local jurisdiction.	Octroi is specific to goods entering municipal areas.
Toll Tax	Fee for the use of specific infrastructure like roads, bridges, and tunnels.	Collected to fund construction, maintenance, and operation costs of infrastructure.
Stamp Duty	Tax on legal documents related to property transactions.	Levied by the state government; shown as a stamp affixed to documents.

Types of Customs Duty



Type of Customs Duty	Definition	Key Points
Basic Customs Duty	Customs Duty on imported goods under the Customs Act, 1962.	Applicable to all imported goods.
Countervailing Duty (CVD)	Additional import duty to offset benefits like export subsidies in the country of origin.	Imposed selectively based on recommendations of DGTR.
Anti-Dumping Duty	Tax on goods exported at a price lower than their cost in the origin country.	WTO permits its use for fair competition.
Export Duty	Tax on goods exported out of the country.	Used to restrict exports of specific goods.

Principle of Value Added Tax or VAT Principle

- In the context of **taxation**, the principle of **Value Added Taxation** or the **VAT principle** avoids the **cascading effect** by repaying back the different processors in a production chain the **taxes** paid by them on their respective **inputs**.
- The repaid back **tax** is called **Input Tax Credit (ITC)**.
- For example, in the earlier example, the **spinner** is repaid the **sales tax** paid by him on **cotton**. So, the **weaver** pays **tax** only on the **value added** by the **spinner**.